MAHATMA GANDHI UNIVERSITY, KOTTAYAM

BBA (HONOURS) THIRD SEMESTER EXAMINATION (2024 ADMISSION ONWARDS)

MG3CCRBBA201-COST AND MANAGEMENT ACCOUNTING

Duration: 2 hrs Maximum Marks: 70

Part A

Short Answer Questions

Answer either A or B from each question.

1. **A.** List two advantages and one limitation of Financial Statement Analysis. (K, CO2)

   OR

   B. Briefly describe any two tools used in financial analysis.(U, CO2)
2. **A.**What is a Common Size Statement and Comparative Statement Analysis? (K, CO2)

   OR

   B.Explain Trend Analysis. Why is it important in financial decision-making? (U, CO2)
3. **A.**State any three objectives of Ratio Analysis.(K, CO3)

   OR

   B.Explain the Cash Ratio. Why is it considered a more conservative measure of liquidity? (U, CO3)
4. **A.**What is a Flexible Budget? How is it different from a Fixed Budget? (U, CO4)

   OR

   B.Explain how marginal costing helps in the "make or buy" decision.(U, CO4)
5. **A.** What is a Production Budget? Mention one key benefit and one limitation. (K, CO4)

   OR

   B.Define Cash Flow Statement. Explain its objectives. (U, CO4)

[5 x 3 = 15]

Part B

Short Essay Questions

Answer either A or B from each question. All questions are compulsory.

6. **A.**The following are extracts from the Income Statements of XYZ Ltd. for the years ended 31st December 2023 and 2024. Prepare a Comparative Income Statement, and give a brief interpretation of the company’s financial performance. (An, CO2)

Particulars	2023 (₹)	2024 (₹)
Revenue from Operations	8,00,000	10,00,000
Cost of Goods Sold (COGS)	5,20,000	6,40,000
Operating Expenses	1,00,000	1,20,000
Other Income	20,000	30,000
Tax	50,000	70,000

OR

B.Explain the significance of Financial Statement Analysis to different stakeholders.(U, CO2)

7. **A.** What are the three main activities reported in a Cash Flow Statement? Explain each with examples. (K, CO4)

   OR

   B.Distinction between cash flow and fund flow statement. (U, CO4)

8. **A.** Explain how a Fund Flow Statement helps in identifying changes in working capital.(U, CO4)

   OR

   B.From the following data, calculate the Break-even Point (in units and sales ₹):

   - Selling price per unit = ₹100
   - Variable cost per unit = ₹60
   - Fixed cost = ₹80,000 (A, CO4)

[3 x 5 = 15]

Part C

Long Essay Questions

Answer either A or B for all questions.

9. **A**. A mid-sized manufacturing company is aiming to improve cost control and profitability. The management is exploring the introduction of a cost accounting system to support better financial decision-making.As a cost accountant, prepare a writeup for management that explains the objectives of cost accounting, describes its key functions, and highlights the advantages of implementing cost accounting in their operational context.(K, CO1)

   OR

   B. The following data has been extracted from the books of ABC Manufacturing Company Ltd. for the year ended 31st December 2024:

Particulars	01-01-2024 (₹)	31-12-2024 (₹)
Stock of Raw Materials	30,000	25,000

Stock of Work-in-Progress	12,000	15,000
Stock of Finished Goods	60,000	55,000

Other Information:

- Purchases of Raw Materials: ₹4,50,000
- Direct Wages: ₹2,30,000
- Factory Overhead: ₹92,000
- Administration Overhead: ₹30,000
- Selling & Distribution Overhead: ₹20,000
- Sales Revenue: ₹9,00,000

You are required to prepare a Cost Sheet for the year ended 31st December 2024, showing the Prime Cost, Factory Cost, Cost of Production, Cost of Goods Sold, Cost of Sales, and Profit.(A, CO1)

10. **A.**Balance Sheet of Delta Industries Ltd. as on 31st March 2025

Liabilities	₹ (in '000)	Assets	₹ (in '000)
Equity Share Capital	2,00,000	Fixed Assets	3,50,000
Reserves and Surplus	50,000	Inventory	90,000
12% Debentures	1,50,000	Sundry Debtors	80,000
Long-term Loans	1,00,000	Bills Receivable	30,000
Sundry Creditors	70,000	Cash in Hand	10,000
Bills Payable	25,000	Cash at Bank	15,000
Outstanding Expenses	10,000	Short-term Loans & Advances	25,000
Bank Overdraft	15,000		
	6,20,000		6,20,000

Additional Information:

- EBIT (Earnings Before Interest and Tax) = ₹1,20,000
- Interest on Debentures = ₹18,000

Based on the above Balance Sheet,analysethe company's short-term liquidity positionand long-term solvency of the company. (An, CO3)

OR

B.Balance Sheet of Sparkline Ltd. as on 31st March 2024 is given below:

Liabilities	₹ (in '000)	Assets	₹ (in '000)
Equity Share Capital	2,50,000	Fixed Assets (Net)	3,00,000
Reserves and Surplus	1,00,000	Inventory	1,20,000
10% Long-Term Loan	1,50,000	Sundry Debtors	80,000
Sundry Creditors	75,000	Bills Receivable	20,000
Bills Payable	25,000	Cash and Bank Balance	50,000
Outstanding Wages	10,000	Prepaid Expenses	10,000
		Short-term Loans & Advances	30,000
Total Liabilities	**6,10,000**	**Total Assets**	**6,10,000**

The Income Statement of Sparkline Ltd. for the Year Ended 31st March 2024 has the following information:

- Sales Revenue: ₹10,00,000
- Cost of Goods Sold (COGS): ₹7,00,000
- Operating Expenses: ₹1,00,000
- Interest on Long-Term Loan: ₹15,000
- Net Profit before Tax: ₹1,85,000
- Tax @ 30%: ₹55,500
- Net Profit after Tax: ₹1,29,500
- Number of Equity Shares: 25,000
- Market Price per Share: ₹70

Using the above data, calculate the following ratios and evaluate the profitabilityof Sparkline Ltd.

a. Gross Profit Ratio

b. Operating Profit Ratio

c. Net Profit Ratio

d. Return on Capital Employed (ROCE)

e. Earnings Per Share (EPS) and Price Earnings (P/E) Ratio (An, CO3)

[2 x 20 = 40]